



Chhatri in plain language

What it costs, who the lender is, and whether a shopkeeper really just gets the money.

Chhatri is insurance for a shopkeeper's **income**, not for their shop. If a storm shuts the market down for an afternoon, or the shopkeeper lands in hospital for a day, the day's earnings simply vanish — and no ordinary policy covers that. Chhatri pays back half of what the day should have earned.

The whole trick is that Paytm can already see the loss happening. The QR code and the Soundbox record every rupee a shop takes, minute by minute. If the shops in a zone go quiet during a rain warning, that *is* the evidence — so there is nothing to claim, nothing to prove and nobody to convince. The money just arrives.

THE FOUR PEOPLE IN THIS STORY

The shopkeeper

Anil, a tea stall in Dadar. He takes about ₹4,380 on a normal Tuesday, through a Paytm QR code and a Soundbox. He also owes a daily loan instalment of ₹600.

Paytm

Sells him the cover inside the app he already uses, watches his collections, runs the claims engine, and moves the money. Paytm does not carry the risk.

The insurance company

The partner who actually underwrites the policy. The premiums go into their pool and the claims are paid out of it. If a monsoon is worse than they priced for, they take the loss.

The lender (an NBFC)

A completely separate finance company that gave Anil a working-capital loan. Nothing to do with the insurance — but it is the second thing that hurts on a bad day.

What a bad day actually looks like

14:00

A warning

The weather office puts a heavy-rain alert over his zone. Chhatri starts watching it.

17:00

The market is quiet

Collections across the whole zone have been under half of normal for three hours.

17:04

Money arrives

₹1,380 lands in his Paytm balance and the Soundbox says it out loud. He filled in nothing.

17:05

The loan waits

His lender is asked to postpone tomorrow's ₹600 instalment to the end of the loan.

1 Who is the lender, and why is a loan in here at all?

The lender is **not** part of the insurance. It is a separate finance company — an NBFC, the kind that lends small working-capital loans to shopkeepers who cannot get a bank loan. In this prototype it is called “Simulated lender (NBFC partner)”.

What makes it matter is *how* these loans are repaid. They are not monthly. The merchant pays a little every single day, straight out of the day's takings — a daily instalment. Anil's is ₹600 a day. In the simulation about 40% of the shopkeepers have one, between ₹200 and ₹900 a day.

So on a washed-out day a shopkeeper is hit twice: he earns nothing, *and* the instalment still falls due tomorrow. Paying him for the lost sales and leaving the instalment where it is only solves half his problem.

What Chhatri actually does about it

No money moves between Chhatri and the lender. Not a rupee. All that happens is a polite request, after the merchant has already been paid:

- 1 The payout is credited first**
Chhatri pays the merchant. Nothing about the loan has happened yet, and nothing about the loan can change the payout.
- 2 Chhatri asks — it does not instruct**
A request goes to the lender: this loan, this instalment date, this amount, a payout was credited. That is all.
- 3 The lender decides on its own rules**
In order: is this loan in the holiday scheme? Is it still active? Is it free of arrears? Are any of the three holidays a year left? The first “no” is the reason it sends back.
- 4 Granted: the instalment moves**
Tomorrow's instalment goes to the end of the loan. The penalty is zero. The merchant owes the same total, just later.
- 5 Refused, or no answer at all**
The payout is untouched — the money is already in his account. He is told the lender's reason in the same chat.

The lender keeps control

It is their loan and their decision, made on their own board-approved rule: one holiday after a credited payout, three a year at most.

The merchant keeps his privacy

The lender is told the loan, the date, the amount and that a payout happened. Not the reason — so a hospital claim never tells his lender he was ill.

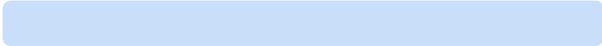
The payout stands anyway

A refusal, or a lender that does not answer at all, changes nothing about the money already credited.

2 How much is the premium, really?

A shopkeeper who cannot spare ₹500 in a bad week will never pay a yearly premium. So the price is a **daily** number, and it is collected the way he already earns — a little out of each day's takings.

ONE DAY, TO SCALE

What he earns on a normal Tuesday		₹4,380
What one storm payout gives him		₹1,380
What the cover costs him that day		₹18.62

The premium is about 0.4% of a normal day's sales. One storm payout is worth 74 days of it.

The first payment

₹558.60 on a Paytm link — that is 30 days of cover bought up front, in one tap. No mandate, no auto-debit set-up, no agent.

After that, daily

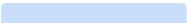
At the 21:00 settlement Paytm takes that day's ₹18.62. If the day's collections are too small, nothing is taken — and the next day is simply not covered.

Why it differs by area

A zone that floods often costs more. Across the 24 Mumbai zones the price runs from ₹6.93 to ₹38.82 a day. Dadar is ₹18.62.

WHAT A DAY OF COVER COSTS IN EACH ZONE

per covered shop

Z8		₹38.82	Z13		₹16.25
Z6		₹29.84	Z17		₹15.98
Z20		₹28.79	Z3		₹14.16
Z9		₹25.38	Z2		₹13.71
Z14		₹21.36	Z19		₹13.66
Z18		₹21.14	Z1		₹13.55
Z24		₹19.59	Z11		₹10.89
Z22		₹19.06	Z12		₹10.48
Z7		₹18.62	Z5		₹9.87
Z15		₹17.04	Z16		₹9.34
Z4		₹16.84	Z23		₹7.19
Z10		₹16.60	Z21		₹6.93

How the price is worked out

In words: take what Chhatri expects to pay out in that zone over a year, divide it by 365 to get a day, then add about 35% on top for the cost of running it, reinsurance and the insurer's margin. Whatever that comes to, the floor is ₹2 a day. In the two-monsoon backtest ₹65 of every ₹100 collected went straight back out as claims.

One honest point. These prices come from simulated sales, because Paytm's real collections are not public. On real data every one of these numbers would move.

3 So does a shopkeeper just get the money on a bad day?

This is the question everyone asks, and the honest answer is: **on a storm day, yes — genuinely automatically. On any other kind of bad day, no.**

On a storm day — yes, automatically	On a personal bad day — not quite
He does nothing at all. No form, no photo, no phone call, no visit. The first he knows about it is the Soundbox announcing the money.	Chhattri notices the shop is silent and asks on WhatsApp if he is okay. He sends one photo of the hospital slip. That is the only document in the whole system.
But “a bad day” is not enough on its own. There has to be a weather alert in force, the <i>whole zone</i> has to be under 50% of normal for three hours running, at least 20 covered shops have to be in the count, and it has to be below what the model itself expected. A zone that is merely slow gets nothing — and is told so.	The slip has to be a real hospital slip: it must name the hospital and the treating doctor. Chhattri checks it is readable, that the name matches his KYC, that the dates cover the silent day, and that it is three days or fewer — and then it asks the doctor . It looks that doctor up in its own register of hospitals, messages them on Telegram, and waits: <i>did this patient attend on this date?</i> Only a Yes pays automatically.
Roughly: the market is shut, so everybody covered in that zone is paid at once. 312 shops on the demo storm.	Roughly: one shop, one photo, one doctor — and about half the time one human being.

And the days when nothing comes

The zone was only slow

Sales fell, but there was no weather alert. That is a quiet Tuesday, not a loss event. Nothing is paid, and the app says exactly that.

The cover was too new

Bought after the warning went out, or still inside the 7-day wait. Nobody gets to buy an umbrella once it has started raining.

The premium was not paid

The law is blunt here: no premium for that date, no cover for that date. The engine re-checks it on every single claim.

In every one of those cases the merchant is told *which* rule stopped the payment, in Hindi or English, and can argue with it in the same WhatsApp chat. A dispute opens a case and a person answers within 24 hours.

Asking the doctor

A photograph of a piece of paper is not proof that anybody was ill. So for a medical claim Chhatri does one more thing: it asks the doctor.

The slip must name them

A real admission slip carries the hospital and the treating doctor's name and registration number. If it does not, the claim goes to a person.

Chhatri finds the number itself

It looks the doctor up in its own register of hospitals. It never dials a number printed on the slip — a forged slip would carry a forged number, and the fraudster would be confirming his own claim.

The doctor taps Yes or No

A Telegram message asks one question: did this patient attend on this date? It carries no amount, no policy and no phone number.

And if the doctor says nothing? Then nothing is declined. Silence is not a denial — doctors are busy, and a claim must never fail because a message went unread. No answer sends the claim to a human being, who can phone the hospital. The only thing that can turn a medical claim down on this check is a doctor actively saying *no, that patient was not here*. Nothing a machine reads off a photograph can decline a claim by itself.

The merchant is told this is happening, and asked first: the question is only sent if he consents to it. If he says no, the claim still goes to a person — it is not thrown out.

What that looked like on the demo storm

312

shops paid in one afternoon, and not one of them filled in a claim

4 min

from the trigger firing to the money being in the account

485 of 844

medical claims settled on the slip checks alone in the backtest, which had no hospital to ask

And the zone that was left out: Zone 9's sales fell to 61% of normal the same afternoon, but there was no weather alert over it. A slow day is not a loss event, so nothing was paid — and the app says that in those words, to anyone who asks.

4 The whole system, in ten sentences

- 1 A shopkeeper who already takes payments through Paytm buys income cover in the app, in two taps.
- 2 He pays for the first 30 days on a Paytm link, and after that the premium comes out of each day's own collections at the evening settlement.
- 3 For the first seven days the cover cannot pay anything — that is what stops people buying it when they can already see the storm coming.
- 4 Paytm can see every shop's collections minute by minute, so it does not need the shopkeeper to report that something went wrong.
- 5 When a weather warning is live and a whole zone's sales stay under half of normal for three hours, that is a loss event.
- 6 A policy engine — not a model and not a person — then checks eight hard rules for each covered shop and works out half of what that shop lost.
- 7 The money is credited with the same settlement the shop uses every day, about four minutes later, and the Soundbox says the amount out loud.
- 8 Chhatri then asks the shopkeeper's lender to postpone tomorrow's loan instalment; the lender decides, and whatever it says, the payout stands.
- 9 If instead one single shop goes quiet, Chhatri asks after the owner on WhatsApp and accepts one photo of a hospital slip — and sends anything doubtful to a human being.
- 10 Every decision, payment, lender answer and human override is written into a tamper-evident log, and the whole day can be replayed and land on exactly the same numbers.

What it is not

It is not shop insurance

It pays for the income a day should have produced. It does not pay for a damaged fridge, a flooded stockroom or a stolen phone.

It is not a loan or a loan waiver

The instalment is postponed to the end of the tenure, not forgiven. The merchant still owes the same total.

No real money moves yet

Sales are simulated and the payout rail and lender are stubbed. The rainfall, the rules, the engine and the audit chain are real.